



Key performance indicators (KPIs)

Key performance indicators (KPIs), or key success indicators (KSIs), are based on a company's goals and vary depending on the company and industry. KPIs are usually stated in a company's annual report.

How it works

KPIs are the non-financial measures of a company's performance—they do not have a monetary value but they do contribute to the company's profitability. Any company department can adopt KPIs to gauge its performance. A KPI for an accounts department might be the percentage of overdue invoices, as this will help

determine the department's efficiency. This is an example of a lagging indicator—it is an outcome and therefore easy to measure, but not straightforward to influence. Companies also look for leading indicators, which are focused on inputs and easier to change. A leading KPI for the accounts department might be the percentage of purchase orders raised in advance.

Corporate KPIs

KPIs can be set up as dashboards on computers so that they can be checked frequently. These dashboards show examples of KPIs specific to departments in a company. Having set their KPIs, the departments are subject to managerial review, which could result in action if KPIs are sub-standard.

